

INCENTIVES FOR GREEN HYDROGEN MISSION

₹17,490 CR
Total unclaimed SIGHT incentive outlay until 2030

₹1,466 CR
Pilots (transport, shipping, steel)

₹400 CR
Research and development

₹388 CR
Other mission components

₹19,744 CR
Entire outlay under the National Green Hydrogen Mission. Of this, **₹4,400 crore** for electrolyser manufacturing and **₹13,050 crore** for green hydrogen production

SOURCE MNRE

stitute for Energy Economics and Financial Analysis, wrote that "94% of the planned capacity is yet to move beyond the announcement stage, and only 2.8% is operational." It tracked 158 green hydrogen projects in India and found the "primary barriers" included "lack of committed buyers (unclear demand signals), high production costs, varying definitions of green hydrogen, and inadequate infrastructure—particularly for storage, transportation, and shared facilities."

In April 2026, the Chintan Research Foundation (CRF) said while the NGHM has built an impressive supply-side architecture, there are hardly any committed buyers.

LOW DEMAND

The NGHM aims to generate 5 MT of green hydrogen by 2030 for use in refinery, fertiliser, city gas, steel, road transport, shipping.

Although "demand creation" is the first of the mission's three components, the measures it envisages—including specifying a minimum share of green energy and its derivatives, such as green ammonia and green methanol, in industrial use, legally enforceable consumption targets, and model guidelines for transparent, competitive procurement—are yet to be implemented.

The industry is waiting for policy measures to boost demand. Balashanmugam says it is not looking for subsidies to make green hydrogen viable but wants the government to create demand by mandating its use. "Similar mandates exist in the European Union (EU) for their industries to switch to green hydrogen failing which a penalty is imposed. We are asking for an incremental rise in mandates, say 10% annual transition by users as part of the mission goal, either voluntary or compulsory. We have suggested this to the government", he says. He adds the industry is not asking for penalties for defaults as the mandates can create better visibility and certainty for the sector.

Energy experts from of the CRF warn that unless the demand crisis is addressed, the supply-side push "will end up in stranded assets, erosion in investor confidence, and failure to export (part of the mission goals) and decarbonise". In their view, creating demand will need a mix of price support, long-term contracts, and carbon pricing, as the EU, Germany and Japan have done. They also draw attention to India's own experience in transitioning to renewable energy and electric vehicles. In the first case, demand-side push was given precedence over supply-side push (beginning in 2010), while in the second, both were pursued simultaneously (starting in 2014). That sequencing has been reversed in the case of NGHM.

For the green hydrogen transition, Debajit Palit, energy expert from CRF, suggests measures like demand-side push, with subsidies to bridge the gap between prices of grey and green energy, purchase obligations, assured take-off agreements, transition finance, and conditionally disbursed subsidies. The other measure could be transiting to hydrogen irrespective of the colour (grey, blue or green) until green hydrogen prices start falling.